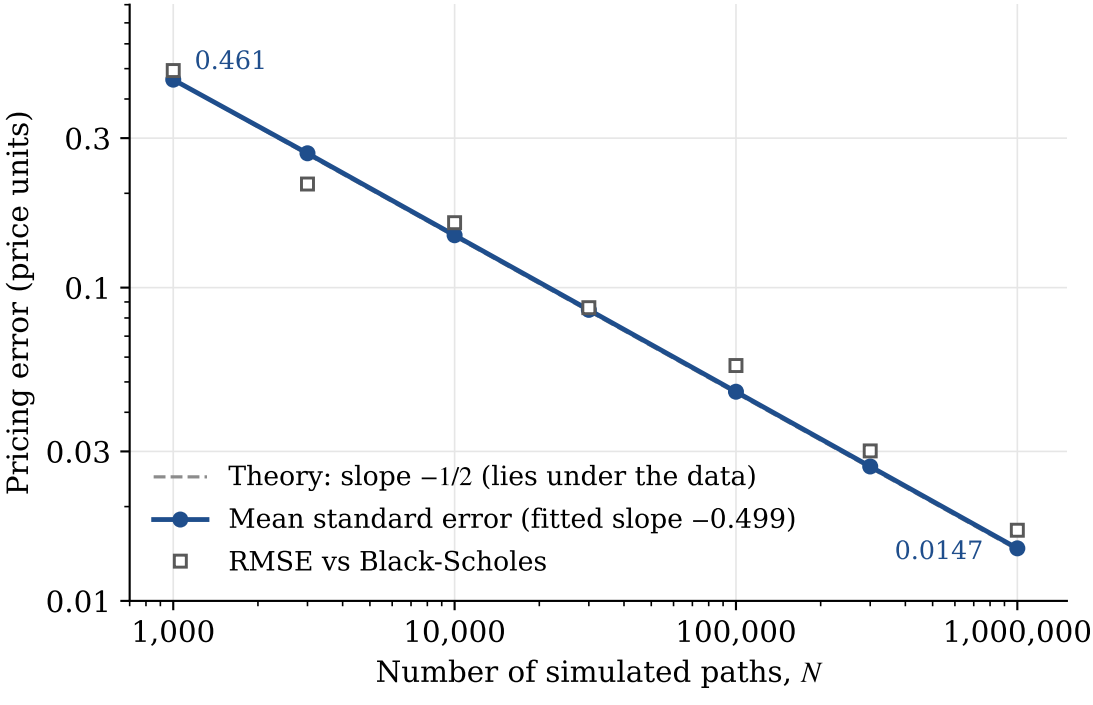
0.461
0.0147
0.3
0.1
0.03
0.01
Pricing error (price units)
Theory: slope −1/2 (lies under the data)
Mean standard error (fitted slope −0.499)
RMSE vs Black-Scholes
1,000
10,000
100,000
1,000,000
Number of simulated paths, N